

Torkian's 30-Story Tower Shows Development Math Still Works Only With Air Rights and Subsidies

A \$25M land basis and UAP zoning reveal the capital stack required to build rental housing in Manhattan today.

The most revealing number in Torkian Group's 30-story residential tower at 301 East 71st Street is not the 70 units, the 340-foot height, or even the 18 affordable apartments. It is the \$25 million land basis from September 2024.

That purchase price, combined with air rights assembled from three low-rise neighbors and the Knickerbocker residence, plus a Universal Affordability Preference density bonus, tells the real story: Manhattan rental development still pencils, but only when the sponsor can layer every available zoning subsidy onto a low-cost land base. The project is not a bet on luxury condominium demand.

It is a bet on rental cash flow, subsidized density, and a construction timeline that waits for regulatory certainty before breaking ground. Torkian paid \$25 million for the site, which currently holds a low-rise residential building. That is roughly \$357,000 per developable unit before hard costs, soft costs, financing, and carrying charges.

In a market where land alone for a new Manhattan condo tower can exceed \$1 million per unit, Torkian's basis is a structural advantage. The developer then assembled air rights from three low-rise properties to the north and from the Knickerbocker residence at 1749 Second Avenue. Air rights in this corridor typically trade at a fraction of direct site value, often 30 to 50 percent of the underlying land price.

That means Torkian effectively bought additional buildable square footage at a discount to the primary site, further compressing its weighted land cost. The UAP regulatory agreement, which the developer will likely secure before announcing a construction timeline, allows additional density in exchange for 25 percent of units being affordable at 60 percent of area median income. That is 18 units out of 70.

The trade is straightforward: give up upside on a minority of units to unlock more total rentable square feet across the building. The market-rate unit mix is weighted toward larger apartments: 26 three-bedrooms, one four-bedroom, and one five-bedroom. That is a deliberate bet on family-oriented rental demand on the Upper East Side, where three-bedroom rentals above \$10,000 per month have become a distinct submarket.

The building is not competing with studio and one-bedroom supply. It is targeting tenants who would otherwise buy or rent in a townhouse or a full-service condo. The all-electric design is not just an environmental choice. It eliminates the need for a gas connection, reduces mechanical room footprint, and avoids the regulatory and cost uncertainty around fossil fuel infrastructure in New York City.

Local Law 97 compliance is built into the capital stack from day one. The transit easement for the 72nd Street Q train station is another cost-saving layer. By building over or adjacent to the subway easement, Torkian likely negotiated reduced development charges or air rights from the MTA.

Every basis point of land cost compression matters when construction financing for rental projects still carries spreads of 300 to 400 basis points over SOFR. Who benefits from this structure? Torkian Group, which has assembled a developable site at a defensible basis. The community board, which gets affordable units distributed across the building height rather than clustered on lower floors.

And the market-rate tenant, who gets a new supply of larger rental apartments in a neighborhood where inventory is tight. Who is exposed? Any developer trying to build rental housing without air rights, without a low land basis, and without UAP density. That project faces a capital stack that does not clear. The gap between the cost to build and the rent required to support it remains too wide for conventional underwriting.

The market should watch two things. First, how quickly Torkian secures the UAP regulatory agreement. The timeline for that approval will signal whether the city's housing agency is processing density bonuses efficiently or whether regulatory friction is adding months to project timelines. Second, the final rent schedule for the three-bedroom units.

If those units lease at or above pro forma, it will confirm that family-oriented rental demand on the Upper East Side is deep enough to support new development. If they stall, the underwriting assumptions behind similar projects will need to adjust. This tower is not proof that Manhattan development is back.

It is proof that development works only when the sponsor can buy land cheap, buy air rights cheaper, and let the zoning code subsidize the rest.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co